CASE ID: 20204710900
EPISODE NAME: China-Australia Trade War
2020/04/28 - 2024/12/04
Sender: China (710)
Target: Australia (900)
Issue: Contain Political Influence (1)
Final Outcome: Negotiated Settlement following sanctions imposition (10)

Summary:

On 2020/05/12, China began to impose tariffs and trade restrictions on various Australian products, including wine, cotton, barley, lobster, timber, and coal.[1] [2] The trade restrictions were widely seen as a reaction to Australia's calls for a global inquiry into the origins of the COVID-19 pandemic.[3] The episode ended on 2024/12/04, when China lifted the last trade restrictions in the wake of improving bilateral relations.[4] [5]

Narrative:

On 2020/04/28, China threatened Australia with economic sanctions in response to the country's calls for an inquiry into the origins of COVID-19.[6] The episode began when China's ambassador to Australia, Jingye Cheng, said that, should Australia keep pushing for the inquiry, the Chinese people would not want to "drink Australian wine, eat Australian beef." [7]

China banned imports from Australia's four largest beef exporters on 2020/05/12, and placed an 80 percent tariff on Australian barley a few days later.[8] On 2020/08/17, China launched an

[1] Smyth, Jamie, and Hale, Thomas. "Canberra Probes Reports China Has Banned Australian Coal." *Financial Times*, October 13th, 2020. www.ft.com/content/b875dc92-2b58-4414-9fb1-d03b3d2b3888.
[2] Sullivan, Kath. "China's list of sanctions and tariffs on Australian trade is growing. Here's what has been hit so far." *ABC News*, December 16th, 2020. www.abc.net.au/news/2020-12-17/australian-trade-tension-sanctions-china-growing-commodities/12984218.
[3] "China punishes Australia for promoting an inquiry into Covid-19." *The Economist,* May 21st, 2020. https://www.economist.com/asia/2020/05/21/china-punishes-australia-for-promoting-an-inquiry-into-covid-19.
[4] Sekulich, Harry. "China drops last trade bans imposed on Australia's exports." *The Daily Aus*, December 3rd, 2024. https://thedailyaus.com.au/economics/china-drops-last-trade-bans-imposed-on-australias-exports.
[5] Cossins-Smith, Annabel. "China Lifts Remaining Restrictions on Australian Coal." *Mining Technology*, March 15th, 2023. www.mining-technology.com/news/china-lifts-australia-coal-ban/.
[6] Karp, Paul, and Davidson, Helen. "China Bristles at Australia's Call for Investigation into Coronavirus Origin." *The Guardian*, April 29th, 2020. www.theguardian.com/world/2020/apr/29/australia-defends-plan-to-investigate-china-over-covid-19-outbreak-as-row-deepens.
[7] "China punishes Australia for promoting an inquiry into Covid-19." *The Economist,* May 21st, 2020. https://www.economist.com/asia/2020/05/21/china-punishes-australia-for-promoting-an-inquiry-into-covid-19.
[8] "China punishes Australia for promoting an inquiry into Covid-19." *The Economist,* May 21st, 2020. https://www.economist.com/asia/2020/05/21/china-punishes-australia-for-promoting-an-inquiry-into-covid-19.

anti-dumping investigation into wine imports from Australia,[9] and on 2020/11/28, China imposed 200 percent anti-dumping tariffs on Australian wine.[10] Tensions further escalated in the fall. On 2020/10/09, China's General Administration of Customs reportedly directed state-owned utilities and steel mills to cease importing Australian coal. [11] China's Ministry of Commerce reportedly imposed unofficial import restrictions on Australian beef, wine, cotton, barley, lobster, timber, and coal, starting on 2020/11/06.[12] [13]

The cost to Australia was reportedly high. Australia exported $39 billion USD worth of coal to China annually before the pandemic.[14] The other restrictions impacted $20 billion USD worth of Australian goods.[15] In response to China's trade restrictions, Australia requested consultations with China via the WTO regarding tariffs on barley 2020/12/16.[16] Later, on 2021/06/22, Australia requested consultations regarding China's restrictions on wine imports.[17]

The episode was resolved after relations improved beginning in 2023/02, when the two countries' trade ministers had their first meeting since 2019.[18] China lifted all restrictions on coal imports on 2023/03/15.[19] Australia also agreed to drop its WTO complaint relating to barley on 2023/08/11, and wine on 2024/03/29, in anticipation of a mutually agreed upon solution.[20] [21] In

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[9] Dziedzic, Stephen. "China launches anti-dumping investigation into Australian wine exports." *ABC News*, August 17th, 2020. https://www.abc.net.au/news/2020-08-18/china-launches-investigation-into-australian-wine-exports/12569640.

[10] Sullivan, Kath, Birtles, Bill, and Terzon, Emilia. "China puts tariffs of up to 200 per cent on Australian wine." *ABC News*, August 26th, 2020. https://www.abc.net.au/news/2020-11-27/china-puts-tariffs-on-australian-wine-trade-tensions/12886700.

[11] Ma, Jenny, and Li, Jessie. "Chinese state-owned end-users given verbal notice to stop importing Australian coal: sources." October 9th, 2020. https://www.spglobal.com/energy/en/news-research/latest-news/coal/100920-chinese-state-owned-end-users-given-verbal-notice-to-stop-importing-australian-coal-sources.

[12] Sullivan, Kath, Dziedzic, Stephen, and Birtles, Bill. "Fears more trade bans to come as China halts imports of Australian timber, lobsters, barley." *ABC News*, November 2nd, 2020. https://www.abc.net.au/news/2020-11-03/china-broadens-trade-war-against-australian-imports/12841142.

[13] Sullivan, Kath. "China's list of sanctions and tariffs on Australian trade is growing. Here's what has been hit so far." *ABC News*, December 16th, 2020. www.abc.net.au/news/2020-12-17/australian-trade-tension-sanctions-china-growing-commodities/12984218.

[14] Smyth, Jamie, and Hale, Thomas. "Canberra Probes Reports China Has Banned Australian Coal." *Financial Times*, October 13th, 2020. www.ft.com/content/b875dc92-2b58-4414-9fb1-d03b3d2b3888.

[15] Sekulich, Harry. "China drops last trade bans imposed on Australia's exports." *The Daily Aus*, December 3rd, 2024. https://thedailyaus.com.au/economics/china-drops-last-trade-bans-imposed-on-australias-exports.

[16] "China — Anti Dumping and Countervailing Duty Measures on Barley from Australia." *World Trade Organization*, August 11th, 2023. https://www.wto.org/english/tratop_e/dispu_e/cases_e/ds598_e.htm.

[17] "China — Anti-Dumping and Countervailing Duty Measures on Wine from Australia." *World Trade Organization*, March 29th, 2024. https://www.wto.org/english/tratop_e/dispu_e/cases_e/ds602_e.htm.

[18] McGuirk, Rod. "China-Australia Trade Ministers Hold 1st Meeting Since 2019." *AP News*, February 6th, 2023. apnews.com/article/politics-australia-government-china-14e8065a36cfb6815e274a7eafeaca86.

[19] Cossins-Smith, Annabel. "China Lifts Remaining Restrictions on Australian Coal." *Mining Technology*, March 15th, 2023. www.mining-technology.com/news/china-lifts-australia-coal-ban/.

[20] "China — Anti Dumping and Countervailing Duty Measures on Barley from Australia." *World Trade Organization*, August 11th, 2023. https://www.wto.org/english/tratop_e/dispu_e/cases_e/ds598_e.htm.

[21] "China — Anti-Dumping and Countervailing Duty Measures on Wine from Australia." *World Trade Organization*, March 29th, 2024. https://www.wto.org/english/tratop_e/dispu_e/cases_e/ds602_e.htm.

turn, China ended the tariffs on wine imports on 2024/03/29,[22] and dropped all remaining import restrictions stemming from the dispute on 2024/12/04.[23]

[22] Woo, Ryan, Zhang, Albee, and Hall, Casey. "China lifts tariffs on Australian wine, ends three-year freeze in trade." *Reuters*, April 2nd, 2024. https://www.reuters.com/markets/commodities/china-lifts-tariffs-australian-wine-ends-three-year-freeze-trade-2024-04-02/.

[23] Sekulich, Harry. "China drops last trade bans imposed on Australia's exports." *The Daily Aus*, December 3rd, 2024. https://thedailyaus.com.au/economics/china-drops-last-trade-bans-imposed-on-australias-exports.